

the September \$70 Loews put. Technically, this meant I was offering somebody else the right to sell me the stock for \$70 a share anytime until mid-September. More practically, it meant that at the \$400 price for these puts quoted me by Ms. Garrett, a sale of ten of them would result in an immediate \$3,990.33 credited to my account.

The \$3,990.33 credit for the ten puts, minus the \$1,605.47 debit for the ten calls, gave me a delightful windfall of \$2,384.86, which surely would have impressed my wife if she'd accidentally happened to see the brokerage statement. (In reality, there had to be sufficient assets in the account to cover the value of the put at all times. Ms. Garrett said that my Gillette and my Angstrom would serve as this collateral).

Buying a call while selling a put simultaneously is a sophisticated maneuver that Ms. Garrett said was a form of arbitrage, the "bull spread." Inadvertently, then, I'd taken Mr. Ritchey's million-dollar methods—playing one investment off another—and applied it to my own little situation. "If this goes against me, then I know I've had it," I joked to Ms. Garrett, confident that such a thing could never happen.

After I'd established my bull-spread position, I arranged to visit the Options Exchange through the public relations office and its amiable director, Hank Nothnagel. Stock options were traded in pits, much like corn or soybeans, on the largest trading floor in the world, 45,000 square feet. Mr. Nothnagel said there were more computer screens in this building than at any single location outside of NASA. There were enough telephones for a midsize U.S. city. So much heat was given off by computers and other electronic devices that the trading floor didn't require any furnace, even in the worst Chicago winter. In fact, it had to be air-conditioned year round.

The pits themselves were no wider than most elevators, with options on three or more stocks traded in each. At the Loews pit, I saw four or five of the usual baby-faced lot. They stood ranting and raving as buy and sell orders were dealt like cards from a metal deck in front of them. Each time an option price went up or down, a new batch of cards was brought into play and there'd be another flurry of trading.